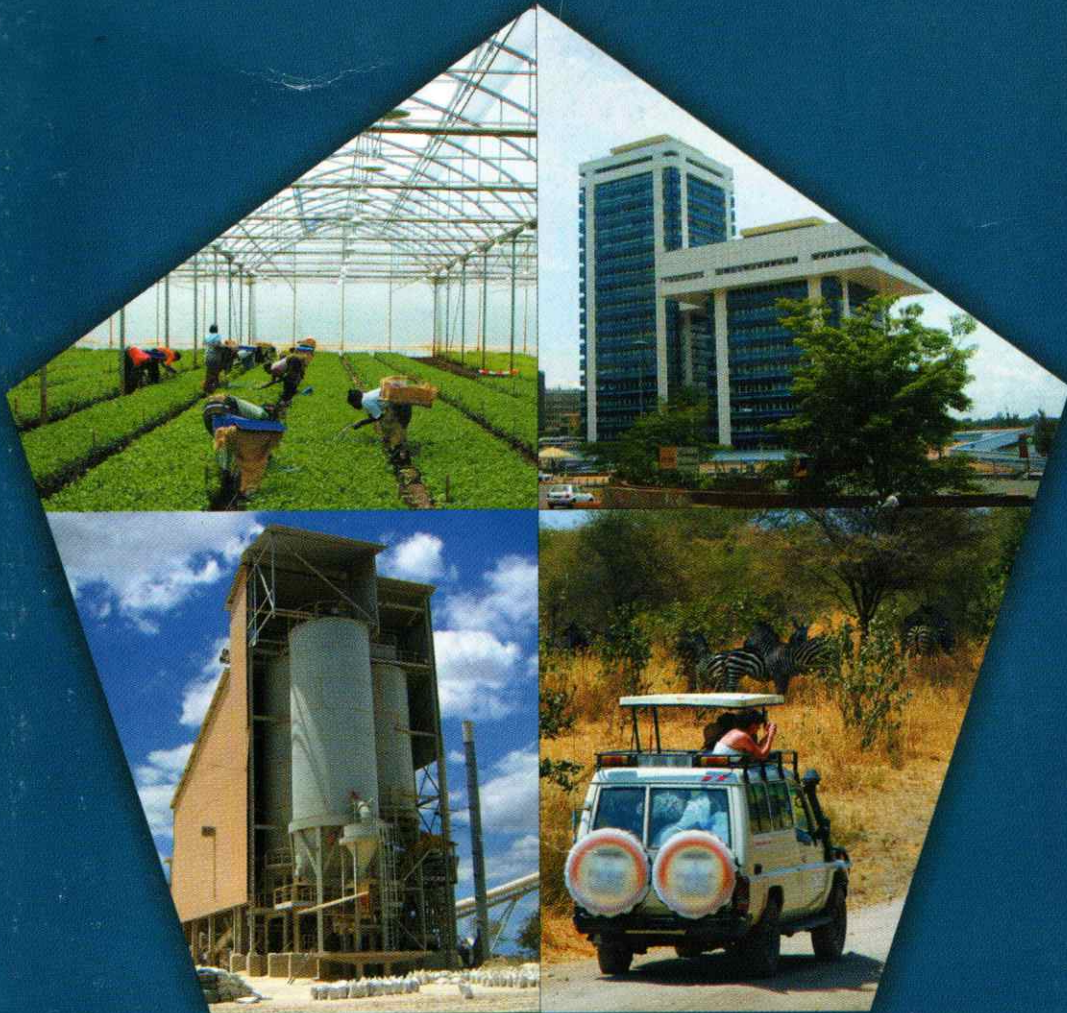


A Snapshot of Investment Opportunities in East Africa



East African Community

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Tanzania benefits from a market that is large by regional standards, allowing companies to benefit from economies of scale. Within the area of public institutions, there is a reasonable public trust of politicians and satisfactory levels of judicial independence. Government spending is efficient. Other notable factors include high women participation in the labour force, reasonable non-wage labour costs, lower tariffs on agricultural products, efficient border administration, fewer custom procedures and an efficient clearance process and, acceptability of foreign labour.

Uganda's main comparative strengths are in its regulatory environment with rules encouraging FDI and the ease of hiring foreign labour. Uganda's labour market is rated as the best in the region. The country has also ensured the availability of financial services throughout the country, particularly through Savings and Credit Cooperatives (SACCOs). Fairly efficient custom clearance processes have also been put in place.

MAJOR INVESTMENT INCENTIVES

Duty drawback schemes

Drawback of import duties upon materials used exclusively in the production of goods exported to a third country is provided for in the Customs Union.

Duty and VAT remission schemes

The Customs Union Protocol provides for duty and VAT remission schemes to support export promotion.

Manufacturing Under Bond (MUB) schemes

Within the Customs Union framework, the Partner States may facilitate manufacturing-under-bond schemes within their respective territories. Such schemes would allow imported goods to be used for processing or manufacture.

Export-processing zones (EPZs)

The Customs Union protocol has spelt out Export Processing Zone Regulations, which are intended to ensure that the partner States establish EPZs in a uniform fashion and that the implementation process is transparent, accountable, fair and predictable.

To further promote uniformity, the partner States propose to develop an East African Community Model Export Processing Zones Operational Manual.

Burundi's export processing zones was established in 1993 as part of the overall effort to encourage FDI, export diversification and promotion of non traditional exports.

Kenya inaugurated her Export Processing Zones program in 1990 as part of the Export Development Program (EDP). The scheme is managed by a state agency, the Export Processing Zones Authority. [www.epzakenya.com]

Rwanda legislation provides for free economic zones of three kinds: export-processing zones, single enterprise export-processing zones and free trade zones. [www.rwandainvest.com]

Tanzania enacted the Export Processing Zones Act in April 2002, which gives the export processing zones authority (EPZA) the mandate to facilitate and oversee the implementation of the programme throughout the country.

The Uganda Investment Authority (UIA) is charged with the responsibility of setting up twenty two new Industrial Parks, nationwide, with a minimum of four new Parks every financial year. In 2008/9, the locations were Mbarara, Mbale, Soroti and Gulu. In 2009/10 they will be setup at Kasese, Kabale, Masaka and Arua. [www.ugandainvest.com]

Free ports

The Customs Union Protocol provides for the establishment of free ports within the Community. The functions of these ports include the promotion and facilitation of trade, the provision of facilities such as storage, warehouses and simplified customs procedures, and provisions for the establishment of international supply-chain centres, which would enhance the Community's international competitiveness.

Harmonization of duty-exemption regimes

The Partner States have agreed to harmonize duty exemption schemes and adopt a single list of exemptions, which is to be specified in the customs law of the Community.

Guarantees to investors

Each EAC partner State offers guarantees to investors as provided for in its constitution, its investment laws and agreements. The laws in all partner States protect property rights and facilitate the acquisition and disposal of property, including intellectual property. Each country is also a member of the International Centre for the Settlement of Investment Disputes and the World Bank's Multilateral Investment Guarantee Agency (MIGA). Investments are guaranteed against nationalization and expropriation. Expropriation of private property is permitted only when due process is followed and prompt and adequate compensation is offered. Investors in the Community enjoy national treatment under the Customs Union Protocol.

Dispute settlement

At the EAC level, Community law establishes various means for the settlement of disputes arising either between the partner States or between investors and partner States. The national laws of the Partner States provide appropriate procedures for the settlement of disputes through litigation, negotiation or arbitration.



MAJOR INVESTMENT OPPORTUNITIES

The Community offers numerous investment opportunities covering a wide range of sectors. Investors may contact Investment Promotion Agencies in Partner States for detailed information and updates on new developments.

INFRASTRUCTURE

The EAC Partner States have agreed to develop common policies with respect to infrastructure. The region will also benefit from the NEPAD infrastructure development programme covering transport, energy, ICT, and water and sanitation.

At the national level, each Partner States is implementing restructuring programmes which aim at reducing government involvement in commercial activities and encouraging public private partnerships.

1. Road transport

To promote regional trade and investment, five major regional road corridors have been identified for development and rehabilitation under the East African Road Network Project (EARNP). The network measures 15,273 km and comprises 8,361 km of main routes and 6,912 km of feeder routes. These corridors will connect the five partner States, their areas of production and markets, and other transport nodes including ports, railway stations and airports.

Investment opportunities abound in construction, maintenance and rehabilitation of roads, as well as in the construction of bridges. This includes build, operate and transfer (BOT) schemes. EAC Partner States aim to develop roads under the East African Road Network Project (EARNP),

2. Railways

Privatization of the sector is underway in the EAC countries. The Community is in the process of extending the railway line coverage within the region as well as linking the region with neighbouring countries. Rift Valley Railways, a concessionaire from South Africa, assumed control of Kenya Railways and Uganda railways for an initial 25 years.

Opportunities for investment therefore exist in the extension of the railway lines within the region as well as in the rehabilitation of existing lines, wagons and coaches.

3. Water transport

Investment opportunities abound in passenger transport and freight cargo services, especially on Lake Victoria, Lake Tanganyika (shared between Tanzania, Burundi, the Democratic Republic of the Congo and Zambia), and Lake Nyasa (shared between Tanzania, Malawi and Mozambique). Over 30 million people are involved in fishing, agriculture and trading around Lakes Victoria, Tanganyika and Nyasa. This presents investment opportunities in passenger traffic targeting commercial activities from the commercial city of Mwanza to Bukoba in Tanzania, Port Bell in Uganda and Kisumu in Kenya.

4. Air transport

The Partner states are harmonizing civil aviation regulations in the region, to facilitate inter alia the establishment of a regional safety oversight agency; the establishment of a Search and Rescue (SAR) coordination centre; the sharing/pooling of personnel, particularly in the area of licensing airworthiness inspectors. The Tripartite Search and Rescue Agreement was ratified in November 2004 and the Secretariat is developing its implementation framework.

Investment opportunities exist in the following:

- * Modernizing the airport management systems under the Global Navigation Satellite System; supplying security-control-related equipment;
- * Construction of state-of-the-art passenger terminal facilities;
- * Strengthening parking aprons; and,
- * Extending taxiways and rehabilitating the old runways.
- * Development of selected regional airport in EAC states
- * Commercialization of airports i.e. establishing duty free shops, export processing zones, airport hotels, business parks, etc.
- * Air navigation infrastructure i.e. equipment used in air traffic managements, air navigation facilities, weather information facilities and equipments
- * Aviation training institutions areas, include: flying schools for pilots and air traffic control and management training



5. Port facilities

The Government of Kenya has made the privatization of port facilities one of its priorities. Kenya's public-sector reform programme places high priority in the privatization of port facilities through transformation of the Kenya Ports Authority (KPA) into a landlord authority, relinquishing most cargo handling and complementary services to the private sector. The same approach is being effected in Tanzania where in May 2000; the Tanzania Harbours Authority was divested and leased to private investors. The National Shipping Agencies (NASACO) also divested its shipping operations, creating opportunities for private operators.

Investment opportunities exist in the following:

- * Conventional cargo operations (stevedoring of non-bulk liquid containerized cargo);
- * Container transport (dedicated wagons, locomotives and communication equipment);
- * Cruise ships;
- * Dockyard facilities;
- * A bunkering pipeline;
- * Development of other container terminals and ports;
- * Inland container depots;
- * Computerization of port operations;
- * Estate management; and,
- * The provision of equipment and gear.
- * The provision of handling and storage services for LPG.

6. Energy

The energy sector in the EAC countries is being restructured to encourage private investors. The EAC Partner States have developed an East Africa Power Master Plan.

Burundi is currently seeking investments to construct the following projects:

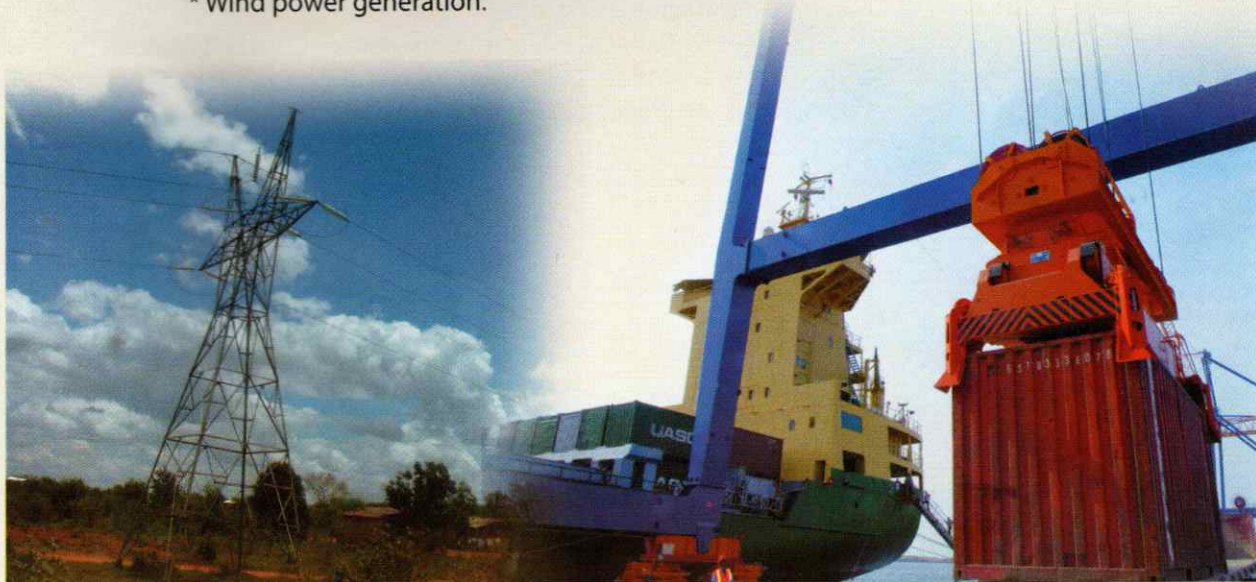
- * 50 MW project for the Rusizi hydropower development.
- * 60 MW Rusumo Falls hydropower station (RFHS).

In Kenya, electricity generation, transmission and distribution are handled by two State companies — Kenya Electricity Generation Company (KenGEN) which deals with power generation, and Kenya Power and Lighting Company (KPLC) which handles transmission and distribution. There are now a few independent power producers as well. The government of Kenya will invite both local and international investors to participate in the following projects to help achieve Vision 2030 goals:

1. 140 MW Menengai to- cost US\$336 m
2. 200 MW CNG – cost US\$ 200m
3. 60 MW Mutonga Hydro – cost US\$ 226m
4. 100 MW Marsabit wind- cost US\$ 180m
5. 300 MW coal Plant at Mombasa – cost US\$ 800 m (Feasibility study ongoing)

Other opportunities include:

- * Manufacture of transformers, switch gears, insulators and electricity energy meters.
- * Manufacture of solar electricity generators.
- * Wind power generation.



Rwanda offers opportunities in the energy sector as follows:

- * The construction of a hydraulic power station on Nyabarongo river with a capacity of 27.5 MW;
- * The construction of a power station at Rusomo falls with a capacity of 61.5 MW;
- * The construction of a hydraulic power station at Rusizi with a possible capacity of 82 MW; and,
- * The exploitation of methane Gas in Lake Kivu, which has the capacity to support a 700 MW power plant.

In Tanzania, the State-owned Tanzania Electric Supply Company Limited (TANESCO) has a monopoly in the generation, transmission and distribution of electricity in the country that is now being unbundled. Investors are invited to participate as Independent power producers.

In Uganda, power generation and distribution were concessioned in 2003–2004, while transmission is still the responsibility of the State-owned Uganda Electricity Transmission Company (UETC). An Electricity Regulatory Authority has also been created. Opportunities exist in utilizing untapped energy resources like coal, natural gas, geothermal, solar and hydroelectric energy as well as opportunities arising from privatisation.

7. Water and sanitation services

The provision of water and sanitation services in the Partner States is gradually being privatized.

In Burundi, the Multi-Sectoral Water and Electricity Infrastructure Project aim to increase people's access to water in peri-urban areas of Bujumbura and improve the quality and reliability of water services in the Bujumbura region

In Kenya, some of these services have already been privatized, with the Nairobi Water and Sewerage Company currently providing water and sanitation management services in Nairobi, with plans to expand its operations to other cities in the country.

Electrogaz, the Rwanda's water utility company has managed to increase water provision to many parts of the country.

In Tanzania, the National Water and Sewerage Corporation (NWSC) is in the process of privatizing its services. The National Water and Sewerage Corporation (NWSC) of Uganda is conducting trials with contracted private management of operations in Kampala and Jinja and is in the process of identifying the forms of private-sector involvement.

Investment opportunities exist in the partner states in the provision of potable water, the provision of garbage and refuse disposal facilities, and the provision of waste treatment facilities in all Partner States.

INFORMATION AND COMMUNICATIONS TECHNOLOGY (ICT)

EAC countries opened the telecommunications sector to investors after adoption of liberalization measures in the 1990s. This has improved communication infrastructure, particularly mobile telephony.

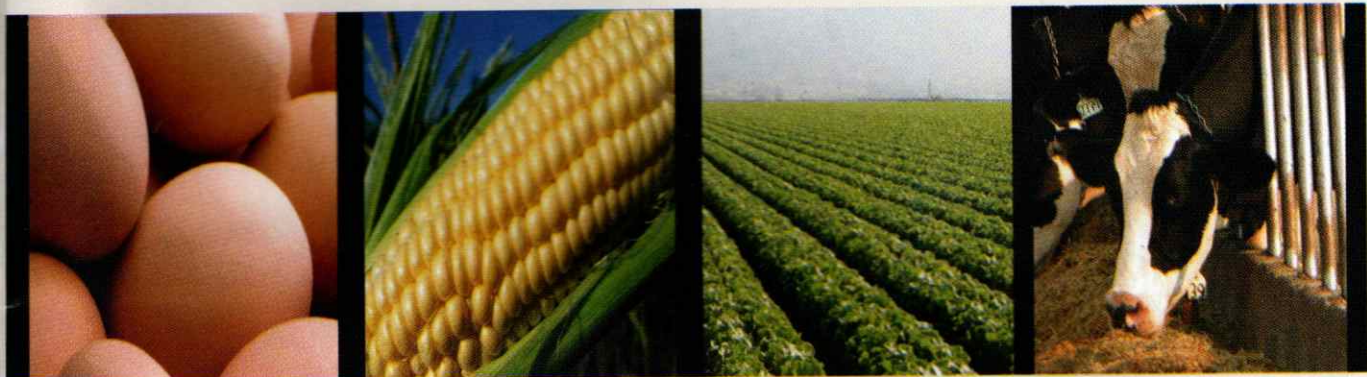
An undersea fibre optic cable bringing broadband Internet connectivity to East Africa has reached the Kenyan coast from the United Arab Emirates. The East Africa Marine Systems (TEAMS) fibre optic submarine cable project is a joint venture of the Kenyan government and Emirates Telecommunication Technology (Etisalat) and a consortium of local investors. It is expected to boost internet connections and greatly reduce the cost of telecommunications, especially data transmission in the region as well as connecting East Africa to international communication networks. It is expected to become operational next month. The 4,500 kilometre (2,790 miles) cable links Mombasa on the Kenyan coast to Fujairah in the United Arab Emirates.



Opportunities abound in the following areas:

- * Processing accounting data;
- * Incipient e-business services;
- * Printing and publishing media and television;
- * Logistics management;
- * ICT infrastructure and training, including extension to rural areas;
- * Provision of Internet-related hardware and software.
- * Provision of value-added services in voice and imaging products;
- * Teleconferencing;
- * Data capture and processing;
- * Business Process Outsourcing (BPO): Call centres;
- * Radio paging;
- * Broadband wireless Internet services.
- * Data centre: Computer security management and disaster recovery planning facilities.

Burundi offers investment opportunities in the expansion of the ONAFTL mobile telephone network in Bujumbura.



AGRICULTURE, AGRO PROCESSING AND RELATED ACTIVITIES

Opportunities for large-scale commercial farming exist in the region for a wide variety of food and cash crops. The key investment opportunities are listed below:

1. Tea

Tea is a major export commodity in the EAC. Opportunities for investment exist in tea plantations, processing and packaging for both domestic and export markets especially under Manufacturing Under Bond and Export Processing Zone schemes.

Specific investment opportunities in Partner States are as follows:

Burundi

Burundi is in the process of privatising production and increasing the area under cultivation.

Kenya

- * Only about 2% total tea exports are value added hence an enormous value addition and consequent branding opportunity exists.
- * Kenya primarily produces black CTC teas hence the potential of diversification to other products namely green teas, orthodox teas, ready to drink teas (juice tea), instant tea, and organic tea among others.
- * Production of specialty teas for specific niche markets and direct sales.

5. Bananas

Opportunities abound in banana production, banana wine processing and packaging and introduction of new varieties in the region.

Rwanda has potential in production of alcohol from bananas, crop and fruit processing. Tanzania offers banana production opportunities in Kagera, Kilimanjaro, Morogoro and Mbeya. Uganda has export potential in dessert bananas: Apple bananas (Ndiizi) and Gros Michel bananas (Bogoya).

Uganda offers investment opportunities in setting up commercial farms to produce and export apple bananas (Ndiizi) to the European market.

Tanzania offers Investment opportunities for banana production in Kagera, Kilimanjaro, Morogoro and Mbeya

6. Cotton

The demand for cotton has increased recently with the growth of the textile and apparels industry responding to the opportunities provided by the US African Growth and Opportunity Act (AGOA). Potential exists in the following areas:

- * Establishment of large scale cotton production farms
- * Value addition to lint.
- * Expansion and improvement of current cotton farming systems.
- * Marketing and exporting of organic cotton
- * Pesticide formulators and mixers to control diseases and pests.

7. Sisal

Opportunities exist in the region in sisal spinning and weaving, production of alcohol, particle boards, biogas and electricity, citric acid, pharmaceuticals, animal feeds, organic fertilizer, handicrafts (various items like bags, dart boards, rugs, doormats, tablemats, curtains), sisal mattresses and padding for fortune and car seats, sisal polishing cloth, buffing cloth for polishing metals in industrial settings; sisal composites in automotive, boat furniture, and in establishment of pulp factories.

8. Food crops and oil seeds

There is investment potential in the production and export of sesame seed, sunflower, seed, groundnuts and cottonseed, pressed organic oils, and sugar, rice and wheat production.

9. Sugar

Opportunities exist in the following areas:

- * Production of industrial refined sugar;
- * Provision of loans or credit to the small and medium-scale out growers;
- * Rehabilitation of sugar plantations and factories; and,
- * Use of bagasse for electricity generation, production of charcoal briquettes, writing paper & particle board,
- * Use of molasses for ethyl alcohol production, vinegar & acetic acid production, fertilizer production, livestock feeds supplement, rectified spirits, rum and yeast.

Burundi offers opportunities in the rehabilitation and expansion of MOSO sugar refinery.



Kenya offers opportunities in construction of new factories in high potential areas such as the Tana River Delta, Busia and Transmara.

Tanzania offers opportunities in the establishment of new sugarcane estates in Coast, Ruvuma, Kagera, Mara, Mbeya, Kilimanjaro and Kigoma regions and in sugar production factories.

10. Groundnuts

There is potential for groundnut processing factories to produce peanut butter, and peanut oil for use in processed foods, cosmetics and paints and finishes.

11. Cashew Nuts

Opportunities exist in cashew-processing industries and marketing particularly in the coastal regions of Kenya and Tanzania.

12. Pyrethrum

Investment opportunities exist in seed production, plantation farming, and processing of pyrethrin insecticides and pesticides. Pyrethrum extracts refineries can be established for production of paints, medicinal and pharmaceutical preparations such as vaccines, antibiotics and vitamins.

13. Tobacco

Opportunities exist in the establishment of tobacco farms, fuel efficient central curing barns and furnaces, construction of processing factories and production of fertilizers, insecticides and sprayers.

14. Forestry and forestry products

Softwood and hardwood plantations offer good opportunities for the establishment of wood-based industries like saw-milling, partial boards, furniture and joinery in the region

Kenya has one major plant producing paper and paper board from forest products. Investment opportunities exist in the production of paper from other raw materials such as bagasse, sisal waste, straw and waste paper.

Tanzania offers the following opportunities: Resins in Iringa, Mwanza, Ruvuma, Coast, Morogoro, Kagera, Lindi; Gum Arabic in Singida, Shinyanga, Manyara, Arusha, Tabora; vegetable tanning in Iringa, Mbeya, Kilimanjaro, Arusha, Manyara and Tanga.

Uganda offers the following opportunities:

- * Planting of soft wood plantations for timber and poles
- * Planting of soft wood plantation for pulp
- * Value added products from both hard and soft wood
- * Tourism and recreation
- * Planting palm trees and processing of palm oil
- * Planting for medicinal purposes.

15. Apiculture

Natural forests, with their indigenous fauna and flora, offer great potential for the development of an organic honey-processing industry and related products, manufacturing of beekeeping equipment, beeswax processing, the development of bee-pollination based industries and the promotion of lesser-known bee products such as royal jelly, which have a demand in Japan and other developed countries. Opportunities also exist for the provision of services for the certification of organic honey production.



16. Livestock

The livestock sector in the EAC contributes substantially to the member countries' GDP and provides employment, food and foreign exchange. Liberalisation has served as a major incentive for players in the industry by encouraging export of a wide range of products from the region, including hides and skins, dairy products and live animals. There is limited meat-processing in the region. Opportunities for investment in the meat sub-sector include:

- * Construction of abattoirs that meet international hygiene standards;
- * Processing of leather;
- * Processing of meat and its by-products;
- * Provision of veterinary services;
- * Rearing of wild animals and the production of game meat (such as ostrich and crocodile farming);
- * Supply of processing equipment for both small and large scale processors; and
- * Provision of financial services, including credit and banking services, in areas where livestock keeping is a major activity.

17. Dairy sub-sector

- * Processing of dairy products such as powdered milk, ultra-heat-treated (UHT) milk, cheese, butter,
- * Yoghurt, ice-cream and flavoured condensed milk;
- * Supply of processing and packaging equipment for both small and large-scale processors;
- * Supply of veterinary and animal-breeding services, and animal feeds; and,
- * Supply of financial services, especially credit; and the supply of quality accreditation

18. Poultry

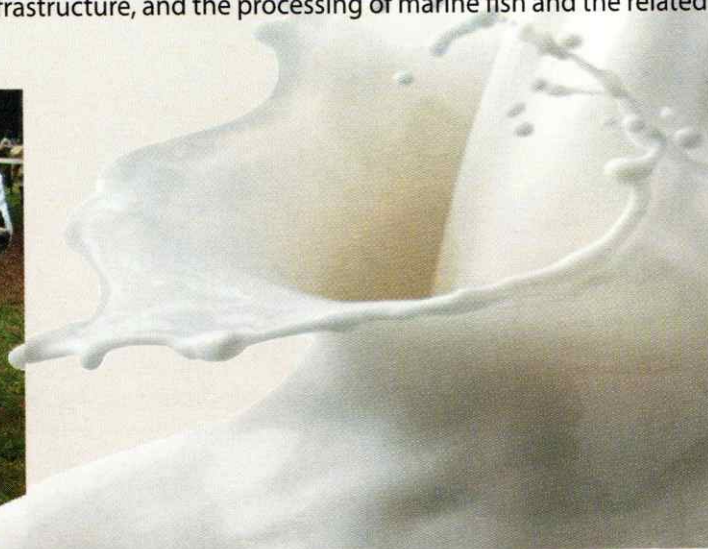
Development of hatcheries for the production of chicken for both regional and international markets; commercial poultry production farms; broiler processing plants; production of chicken feed, feeding facilities and pharmaceuticals.

19. Fisheries

The East African region is endowed with some of the largest freshwater lakes in the world, which harbour substantial resources for fishery. Lake Victoria, shared by three EAC partner States: Kenya (6%), Tanzania (49%) and Uganda (45%), covers a surface area of 68,000 km² and the shoreline length is 3,400 km. The lake is home to about 350 species of fish. The commercially important fish species of Lake Victoria are *Lates niloticus* (Nile perch), *Oreochromis* (Tilapia) and *Rastrineobola argentea* (Dagaa). The other species include *Alestes*, *Barbus*, *Clarius*, *Haplochromis*, *Labeo*, *Mormyrus*, *Protopterus*, *Schilbe* and *Synodontis*.

Lake Victoria and other lakes such as Lake Turkana (in Kenya) and Tanganyika (in Tanzania) and Kyoga (in Uganda) ample opportunity in fishing, fish processing and fish by-product processing, as well as in the supply of fishery-related equipment and storage infrastructure such as fishing nets, cooler transporters, processing equipment, packaging materials, and freighters and cargo planes. Other investment opportunities include fish farming (aquaculture) and establishment of accredited testing laboratories.

The EAC coastline extends for 2,104 km, including some 680 km in Kenya and some 1,424 km in Tanzania. The marine resources that can be exploited include crustaceans, molluscs, Dermasal fish species, Pelagic fish species, and tuna and tuna-like species. Other investment opportunities include deep-sea fishing, the provision of deep-sea fishing vessels, storage infrastructure, and the processing of marine fish and the related by-products.



Horticulture

The climate, the soil and the existing water supplies in the region provide a base for production of high-quality horticultural produce in a natural environment. The main export product is cut flowers the EU. Opportunities abound in the following horticultural produce in the region: pineapples, tomatoes, , papaya, avocado, mangoes, guavas, oranges, passion fruit, apples, pawpaws, water melons, bananas, raspberries, beans, maracuja, moringa, asparagus, honey due, lycee, tamarillos, mushrooms, macadamia, snow peas, strawberry, blackberry and chillies.

Other opportunities include:

- * Production and export of horticultural produce (fruits, flowers and vegetables);
- * Production of propagation materials;
- * Establishment of soil-analysis services;
- * Manufacture of greenhouse plastics;
- * Production of inputs such as fertilizers, herbicides and pesticides;
- * Production of packaging materials;
- * Provision of cold-storage facilities as well as air-cargo transport to foreign markets;
- * Provision of accreditation services to meet market and regulatory requirements.



MANUFACTURING

Manufacturing offers a wide range of opportunities in the EAC Partner States. The region is currently a net importer of manufactured products such as machinery and transport equipment. By offering incentives such as zero rating of various raw materials, and through various manufacturing incentive schemes, the EAC Partner States have been trying to promote manufacturing as a way of diversifying their economies.

1. Textiles and apparel

The EAC Partner States have a history of textile manufacture and are known for the production and export of handpicked cotton. The manufacture of garments has been revitalized since the signing of the African Growth and Opportunity Act (AGOA) in the United States, which allows EAC partner States, along with other sub Saharan African countries, market access to the United States.

Investment opportunities thus exist in cotton ginning, production of yarn and finished textiles, marketing and trading in cotton and textiles as well as in cut, make and trim (CMT) units.

Burundi offers opportunities in the privatization of Burundi Textile Company (COTEBU).

Rwanda offers opportunities in development of sericulture and the silk textile industry.

2. Iron, steel and other metals

Opportunities exist in the development of nucleus foundry making precision castings that can then be processed into precision components, aluminium cans, high-strength reinforcement bars, ductile iron rolls, casting sand and moulding. Opportunities also exist for investment in the mining of iron ore to supply the existing steel mills, the production of sponge iron for steel mills and the production of steel products.

3. Vehicle parts and assembly

The number of new motor vehicle registrations in the region has been increasing rapidly over time. Although some car parts are produced locally, accessories of some of vehicles, especially of European origin, are often lacking in the market. Opportunities exist in the manufacture of components for use by local assemblers and for export to regional markets. Use of bicycles as a mode of transport is widespread in the region, providing opportunities for bicycle assembly.

4. Electronics

The electronics industry is growing rapidly with a number of firms engaged in assembly, testing, repair and maintenance of electronic goods. Investment potential exists particularly through MUB and EPZ programmes in the production of consumer electronics such as TVs, VCRs, disk drives, etc, telecommunications equipment and support industry items such as cables, cords, die casting, metal plating, etc.

5. Electrical equipment

Investment potential can be found in the production of motors, circuit breakers, transformers, switch gears, irrigation pumps, capacitors, resistors, insulation tapes, electrical fittings, integrated circuit boards for both regional and international markets.

6. Plastics

Opportunities exist in all Partner States in the production of plastic articles to meet the domestic demand as well as demand in the broader region.

7. Chemicals

Investment opportunities can be found in the production of PVC resin from ethyl alcohol, formaldehyde from methanol, melanine and urea, mixing and granulating of fertilizers, cuprous ox chloride for coffee bean disease, caustic soda and chlorine based products, carbon black, activated carbon, precipitated calcium carbonate, textile dyestuff, ink for ball points and gelatin capsules, among other things.

8. Pharmaceuticals

Investment opportunities exist in the manufacture of drugs for the treatment of various tropical diseases, the provision of modern family-planning services, and the manufacture of medical equipment and sundries (surgical cotton/gauze, sanitary pads, syringes, bandages, infusion syrups, oxygen). The rich biodiversity of the region also provides an opportunity in the processing of herbal medicines. The processing of pyrethrum extracts and the production of vaccines, antibiotics and vitamins also offer investment opportunities.

9. Beverages

The main beverage production activities in the region include coffee roasting, tea processing, and the production of soft drinks and alcoholic beverages. The region has a competitive advantage in processing these products because it produces most of the raw material used in this industry, including fruits, barley, coffee and tea. Investment in this sector has been increasing, especially in producing soft drinks. The demand for beverages in the region is on the increase.

Investment opportunities exist in production, targeting both local and export markets.



10. Packaging

The packing industry includes all forms of printed paper and plastic packaging, woods, foil and glass packaging. It is a strategic sub-sector as it supports other industries (especially pharmaceuticals, horticultural products, beverages, edible oil, fish, and dairy products) in marketing and distribution generally, as well as in international trade. The developments in the manufacturing sector, especially the production of consumer goods, explain the increased demand for plastic packaging items.

Investment opportunities exist in the production of glass containers (raw material available), tin cans /boxes, corrugated cases (shuffle), cartons and labels, flexible packages, rigid plastics, and thin-walled plastics.

Potential Manufacturing Projects

Burundi

- * Expansion of Burundi palm oil industries. Raw materials are readily available.
- * Production of sunflower oil in Bujumbura.

Kenya

- * **Boiler Modo Unipackers Ltd** – Expansion of food packaging facilities for tea, sugar, powdered milk, etc.
- * **Soyafric Ltd** – Production of soyabean flour mixes, fortified foods.



TOURISM

Tourism is an important industry in the EAC countries. Among the principal sources of tourists are the European Union –in particular Germany, the United Kingdom, Italy and France, and the United States. All EAC countries are interested in diversifying the sources of tourism and adding new ones such as the countries of East, South and South-East Asia and the new members of the EU.

Home to some of the most stunning scenery on the continent, from shimmering lakes and Loft Mountains to spectacular game parks, warm, sandy beaches to unique and attractive cultures and crafts, the EAC is blessed with some of the finest natural tourism assets in Africa.

Highlights of the sector are presented below:

Table : Tourism in East Africa

COUNTRY	PRODUCTS OFFERED	INVESTMENT OPPORTUNITIES
Burundi	• Cultural heritage & sites – some of the best dance groups and drumming cultures in the world • National parks and nature reserves.	• Development of cultural sites • Development of hotels • Hotel renovation and upgrades • Conference facilities • Rusizi National Park (buffalo, antelope) • Kibira National Park (primates and birds) • Ruvuru National Park (herbivores) • Memorials of German colonization
Kenya	• Animal Viewing "the big five" • Game hunting • The great wildebeest migration • Historical sites • Warm, sandy beaches • Mountain climbing	• Development of domestic tourism. • Development of conference tourism, sports tourism, retirement tourism, eco-tourism, cultural tourism and cruise tourism both on the coast and in Lake Victoria. • Construction of lodges and hotels to cater for the increasing number of tourists. • Bomas of Kenya Tourist Hotel • Bomas of Kenya Amusement Park Project • Nairobi JKIA Hotel Project • Thika Fourteen Falls Lodge Project • Meeting Point Plaza • Aberdares Forest Lodge • Kora Lodge Project • Sibiloi Lodge Project • Kerio Valley Lodge Project • Development of resort cities
Rwanda	• Mountain Gorilla Trekking • Nyungwe Waterfalls and National Park • Akagera National Park • Mountain Biking • Flora and Fauna • Bird Watching	• Building new high-standard hotels/lodges/guest houses. • Refurbishing and upgrading the existing hotels, lodges and restaurants in all key tourist destinations. • Building a modern hotel at Nyanza, where the Nyanza Royal palace, the seat of the former kings is situated, to cater to tourists who wish to understand the traditional Construction of a 4 star hotel in Kibuye Development of a tourist institute in Gisenyi • Creating zoological and botanical gardens in major urban centres such as Kigali, Butare, Ruhengeri and Gisenyi. • Creating boating and water sports facilities on Lakes Kivu, Ihema, Muhazi. • Offering training in leisure and hospital ity, hotel management, tour guiding, customer service, etc. • Creation of theme parks • Establishment of a company dealing wit sea planes

Highlights of the sector are presented below:

Table : Tourism in East Africa (Continue)

COUNTRY	PRODUCTS OFFERED	INVESTMENT OPPORTUNITIES
Tanzania	• Viewing wild animals in their natural habitat – Ngorongoro Crater, Serengeti National Park etc. • Climbing the highest mountain in Africa - Kilimanjaro • Wildlife Safaris • Hunting • Scuba Diving and other water sports • Relaxing on the clean and azure beaches – Zanzibar and Mafia Island • Visiting Historical sites – Zanzibar and Bagamoyo and learning about cultures of Tanzania	• World class accommodation facilities - hotels, lodges, guesthouses, entertainment and camping facilities. Joint venture opportunities are available in Kilwa, Zanzibar, Mafia, Dar es Salaam, Mwanza, Arusha, Iringa, Kilimanjaro, Selous, Katavi, Saadani, Babati and Bukoba. • Ecotourism in the Eastern Arc mountain ranges of North Pare, the Usambaras, Uluguru and Udzungwa, and the mangrove forests of the Mtwara, Lindi, Coast and Tanga regions. • Hotel development and/or campsites in some of the cultural heritage sites such as Bagamoyo, Pangani, Tabora and Kilwa. • Development of deep-sea fishing, trophy hunting, and, sea and lake cruising. • Training in tourism activities. • Tour operations and agency business. • Investment in manmade tourist attractions like theme parks and gambling resorts • Water transport services along the coastal belt strip and inland waterways.
Uganda	• Murchison Falls where the world longest river - NILE explodes • The snow-capped Ruwenzori mountains • Queen Elizabeth National Park with 100 mammals species and more than 600 bird species • Mount Elgon National Park • Kibale National Park – home to a remarkable 13 primates species	• Innovative tour operations and package programmes targeting national, regional and international visitors); • Cruises on the River Nile; • Cabin ferry services on Lake Victoria; • Schools for the hospitality industry; • High-quality hotel facilities;



MINING

The EAC countries are richly endowed with a variety of mineral resources.

Burundi is well endowed with deposits of nickel, vanadium, cassiterite, colombo-tantalite, gold, uranium, rare earth oxides, peat, cobalt, copper, platinum, hydropower, niobium, tantalum, gold, tin, tungsten, wolframite, kaolin and limestone

Kenya has four belts of minerals — the gold green stone belt in western Kenya, which extends to Tanzania; the Mozambique belt passing through central Kenya, the source of Kenya 's unique gemstones; the Rift belt, which has a variety of resources including soda ash, fluorspar and diatomite; and the coastal belt, which has titanium. Coal and limestone has also been discovered in the Mui basin in the lower eastern province.

Rwanda has deposits of Cassiterite, a tin ore, which is a very important ingredient of electronics' components. The mineral is also found in Walikale, in DRC's Northern Kivu Province, a part that borders Rwanda in the east. Other potentially profitable minerals include Wolframite, Columbite-tantalite, Amblygonite and Tantalite (Coltitan). Gold has also been explored in some parts of the country. Some semi-precious stones including tourmaline, topaz, corundum, chiasolite, amethyst, opal and agate have been discovered.

Tanzania has a wide variety of minerals, including diamonds, gold, base metals, gemstones (including the unique Tanzanite) and a variety of industrial minerals such as phosphates, mica, gypsum, limestone, graphite, quartz and vermiculite, that have a wide range of applications in ceramics, pottery, brick and tile making, and glass manufacture, nickel, cobalt, copper, diamonds, gemstones, apatite, niobium, iron ore and coal.

Uganda also has a variety of mineral resources, including copper, cobalt, tin, iron ore, tungsten, beryllium, limestone, phosphates, salt, clays, feldspar, diatomite, silica sand, glass, sand gravel, and construction materials such as granites and gneisses.

Investment opportunities exist in mining stone for the construction and building industry, phosphates for agriculture, salt for domestic and chemical uses, iron ore for the iron and steel industry, kaolin for leather tanning and pharmaceuticals, and silica sand and trona for glass manufacture, exploration and development of mineral deposits including oil, gold, copper, cobalt sulphide and hematite iron.

Oil and gas

In Burundi, recent seismic and magnetic surveys have indicated that there may be oil under Lake Tanganyika and the Rusizi river plam.

Kenya's petroleum potential lies in four largish sedimentary basins: Anza, Mandera, Tertiary Rift and Lamu.

In **Rwanda**, there is hydrocarbon potential in North Western Rwanda and deep under Lake Kivu.

In **Tanzania**, significant gas discoveries have been made on the coastal shores of Songo Songo Island and Mnazi Bay, and commercial exploitation for power generation began in July 2004. Petroleum seismic coverage in the public domain is approximately 52,000 kms, 52% offshore and 48% onshore, including the interior rift basins.



BUILDING, CONSTRUCTION AND HOUSING

Quality engineering, building and architectural design services are readily available in the region. With an increase in population, investment opportunities exist in the provision of low-cost housing to cater to the needs of growing populations in urban and peripheral areas; the manufacture of prefabricated concrete systems and other fittings for the building industry; and the processing of non-metallic minerals to make sanitary fittings, tableware, floor and wall tiles, glass, lime, cement, glazes, etc. and, the provision of mortgage services, although land legislation can make it difficult to engage in mortgage lending.

Burundi offers investment opportunities in the establishment of a cement factory in Bujumbura. A key incentive for the project is the low cost of importing raw materials.

EDUCATION

Education is a dynamically developing service sector in the region. Opportunities exist in the provision of facilities and training services in primary and secondary schools, polytechnics, technical and tertiary education, and vocational education and training institutions. Private universities are gaining in importance.

HEALTH CARE

Health care in the Partner States comprises hospitals at district, provincial and national levels and health-care centres/dispensaries at lower levels. Similar services are also provided by non-governmental organizations and the private sector.

Investment opportunities include the establishment of hospitals and other health units and modern testing facilities; training of medical personnel in specialized medical care; the manufacture of drugs, hospital equipment and furniture; and the provision of family planning facilities and services.



PRIVATIZATION

All EAC member states are engaged in the privatization of major state corporations.

The Government of Burundi is preparing an action plan to privatize all or part of its shares in public companies. Sectors to be privatized include: coffee, tea, sugar, cotton, telecommunication, hotels and banks.



Privatization is one of the key elements in Rwanda's economic reform and reconstruction efforts and draws on the experience of a number of African countries, recognizing the private sector as the engine of growth. In this regard, the Government of Rwanda decided to withdraw from the agro industrial, industrial and economic activities, and to provide to private investors the opportunity to acquire the state owned companies with a view to improve their performance. The Privatization Secretariat is in charge of the implementation of the privatization programme.

In Kenya, a parastatal reform committee was established in 1991 to implement the privatization process. The Department of Government Investments and Public Enterprises (DGIPE) has been established within the Ministry of Finance and charged with specific powers and functions which are designed to render it as autonomous as possible. The DGIPE is responsible for those aspects of the reform programme that are related to parastatals which are to remain in state hands.

Tanzania embarked on the privatization of its estimated 400 enterprises through the adoption of the Public Corporations Act 1992, which created the Presidential Parastatal Sector Reform Commission (PSRC).

In Uganda, the Public Enterprise Reform and Divestiture Statute was enacted in 1993 to give effect to the Government's policy launched in 1991, which aimed at promoting the role of the private sector and improving the performance of the remaining public enterprises. The Privatization and Utility Sector Reform Project (PUSRP) was established in 2001 as a follow up project from Enterprise Development Project 11 (EDP) which ended in 2000. The project is a Government of Uganda reform and divestiture initiative, which is part of a wider economic reform and recovery program initiated in the late 1980s.

Investors are requested to contact investment promotion agencies for detailed information on current opportunities available under privatization. (Contact details on page 26)



FINANCIAL SECTOR

Financial Services

The partner States are harmonizing their banking acts so as to harmonize and eventually integrate their financial systems.

Investment potential exists in establishing commercial banks as well as other services like brokerage, investment consultations, asset valuation & sales and bank assurance, asset management, real-estate financing, lease finance, agricultural finance and advisory services. The rapid growth of the informal sector offers opportunities in the provision of credit and related service. Demand for insurance services has also risen.

Burundi

- * Financial sector is insufficient for the economy. Investors are welcomed in all areas.

Kenya

- * Investment in the SME loan market.
- * Building capacity in commercial banks to serve smaller enterprises
- * Investment banking and insurance services

Rwanda

- * Establishment of more Commercial & Agricultural banks in rural areas.
- * Competitive loan facilities to agricultural sector and investors in the industrial sector.
- * Investment banking for advisory services and wholesale banking, including Trust funds & Pension funds.
- * Promoting or arranging underwriting of issuance of securities.
- * Housing Bank Sub-sector in mortgage financing to encourage collateralization of loans and mobilization of savings.
- * Prospects for development of insurance given their complementary role in improving the population's income levels, and the promotion of trade and industry.
- * Direct services, like Stock-broking, Public offering of securities

Tanzania

- * The Capital Markets and Securities.
- * Banking and the secondary market sector, which is still at an early stage of development with little activity.

Uganda

- * Establishing Commercial banks in upcountry urban and rural centres.
- * Development Banks required to provide term loans.
- * Merchant banking for advisory services and wholesale banking and underwriting of securities.
- * Mortgage financing to encourage collateralization of loans and mobilization of savings.
- * Brokerage, sales and tracking services firms with international experience and network.
- * Establishing of Investment banks & Fund management.
- * Discount houses for making a market and securities thereby developing a secondary market for those securities.
- * Provision of re-insurance services to encourage retention of premiums as well as building of capacity in the industry.
- * Risk management, Claims Settling Agents and provision of private pension funds.
- * Reinsures and Reinsurance Brokers.
- * Provision of life policies and other innovative assurances like agriculture and medical schemes.

Capital markets

East African Securities Regulatory Authority (EASRA), helps member states develop capital markets institutions, facilitates exchange of information to help enforce laws and regulations in the different countries, besides conducting cross-border surveillance and public education awareness in addition to co-coordinating technical assistance and promoting consultancy within the region.

Investment opportunities in the region exist in the establishment of unit trusts and mutual funds to facilitate



TRADE

Regional trade integration is a cornerstone of EAC partner states trade policies, which are characterized by strengthening of public institutions and private sector organizations involved in export promotion. The community has an operational custom union and is currently negotiating common market status as the next stage of integration which implies movements of factors of production goods, services and rights of establishment among the partner states.

Market size and access

- The internal EAC market is currently one of about 120 million consumers.
- The Common Market for Eastern and Southern Africa (COMESA) comprises 20 member States with a population of over 400 million. Kenya, Uganda, Rwanda and Burundi are members of COMESA.
- The Southern African Development Community (SADC) was established in 1992 and is now composed of 13 member States. Tanzania is a member of SADC, whereas Rwanda, Kenya Uganda and Burundi are not.
- Tanzania, Uganda, Rwanda and Burundi are also covered by the EU's Everything But Arms (EBA) initiative, under which all products from LDCs except arms and ammunitions have preferential access to the EU market.
- Together with other sub-Saharan African countries, the EAC States also qualify for duty free access to the US market under the African Growth and Opportunity Act (AGOA).
- Products from EAC countries can access various markets in the developed world through the Generalized System of Preferences (GSP), which offers preferential treatment to a wide range of products originating in developing countries.
- Membership in the African, Caribbean and Pacific States (ACP) and the Generalized System of Preferences (GSP) enables products from partner states to qualify for preferential tariffs on exports to member countries. EAC is currently negotiating Economic Partner Arrangements with the European Union. The negotiations are expected to complete by 2009.
- **Burundi** is a member of the Economic Community of Central African States.

Burundi exports coffee, tea, sugar, cotton, hides, and imports capital goods, petroleum products and foodstuffs.

Kenya's major exports are tea, horticulture, coffee, fish and fish preparations and iron and steel. Major imports include industrial machinery, crude petroleum, petroleum products, motor vehicles, and, animal/vegetable fats and oils.

Rwanda mainly exports tea, coffee, tungsten and tin ore, pyrethrum, horticulture, fruits and vegetables. It imports food stuffs, machinery and tools, transport equipment, textiles, mineral fuels and lubricants, construction materials and semi manufactured goods.

Tanzania exports minerals, manufactured products, tobacco, cashew nuts and coffee. Major imports include machinery, transport equipment, industrial raw materials, petroleum products, food and foodstuffs.



Uganda mainly exports coffee, fish and fish products, gold and gold products, tobacco and tea. Imports comprise of machinery and transport equipment, mineral fuels and related products, cereals and cereals preparation, iron and steel.

The objectives of the EAC Customs Union Protocol include furthering the liberalization of intraregional trade in goods; promoting production efficiency in the Community; enhancing domestic, cross border and foreign investment; and promoting economic development and industrial diversification.

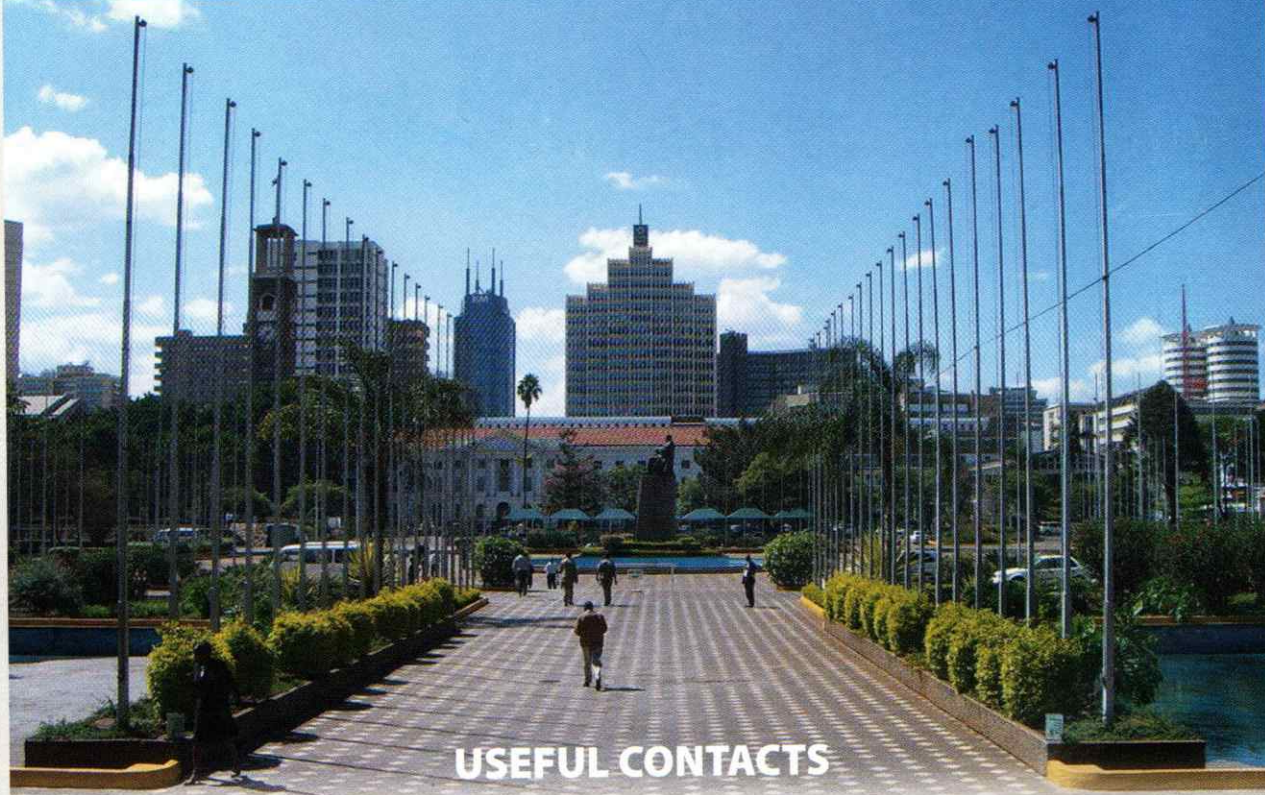


INSTITUTION FRAMEWORK FOR INVESTMENT IN THE EAST AFRICAN COMMUNITY

The institutional arrangement for investment promotion exists at the regional as well as the Partner States Levels. At the regional level, investment promotion is regulated through the EAC Secretariat, the EAC Business Council and the EAC Court of Justice (EACJ). Partner States have set up central government ministries to oversee investment policy. At the same time, Statutory Agencies were set up to promote and facilitate investment. The agencies are Burundi Investment Promotion Authority (API), Kenya Investment Authority (KenInvest), Rwanda Development Board (RDB), Tanzania Investment Centre (TIC), Uganda Investment Authority (UIA) and Zanzibar Investment Promotion Agency (ZIPA). These Investment Promotion Agencies (IPAs) promote growth of inward FDI by facilitating, promoting and attracting new investments and encouraging re-investments. IPAs assist investors with acquisition of relevant permits, licences and approvals.

In order to act as one-stop centres, the IPAs have undertaken a number of reforms to enhance business climate through improving business registration processes and reducing the cost of doing business to make the region a favourable investment destination. With support of UNCTAD, EAC Partner States have developed Investment facilitation portals, dubbed e-regulations which map out investment facilitation procedures per country.

Investors are strongly advised to contact the investment promotion agencies in the Partner States for detailed information on the highlighted opportunities as well as assistance in implementing their investment proposals.



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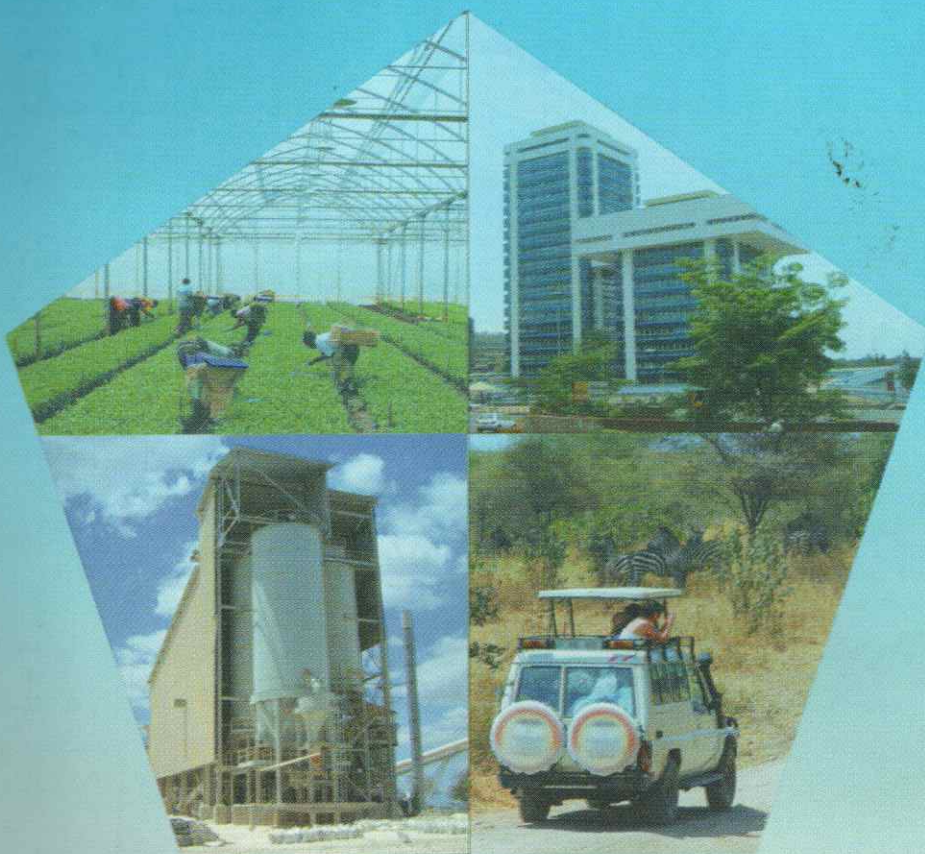
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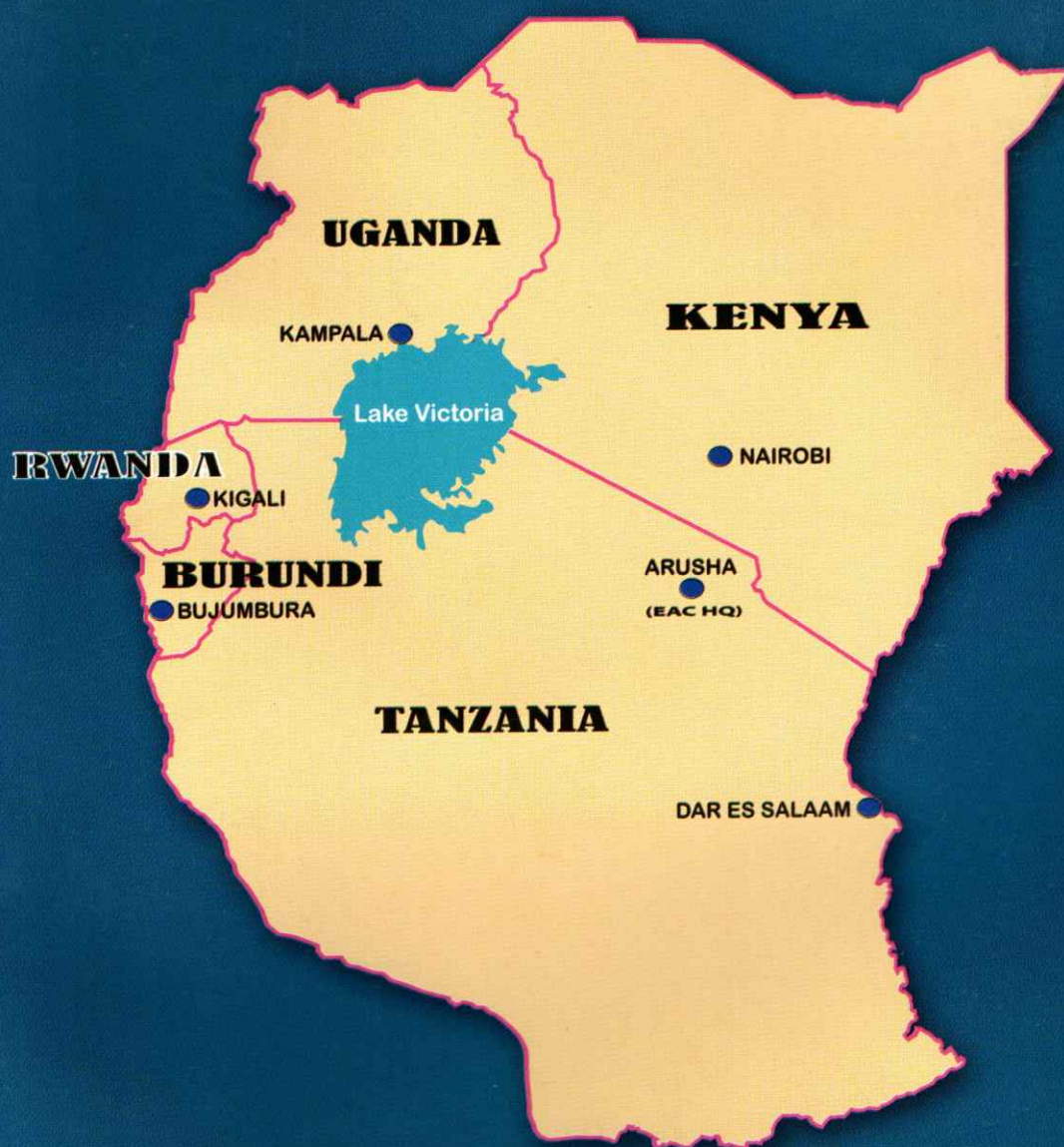
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"Invest in East Africa, Where Challenges are Opportunities"



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